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Case Number: 24STCV19126 Hearing Date: July 17, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department

508

ALMA DELIA PINA SOLANO, et

al.,

Plaintiffs,

vs.

BLXY,

LLC,

Defendant.

Case No.:

24STCV19126

Hearing Date:

July 17, 2026

Hearing

Time: 10:00 a.m.

[TENTATIVE]

ORDER RE:

PLAINTIFFS'

MOTION FOR POST-ORDER ENFORCEMENT SANCTIONS AND CONDITIONAL ISSUE SANCTIONS
FOR DEFENDANT'S FAILURE TO COMPLY WITH THE COURT'S DECEMBER
5, 2025 DISCOVERY ORDER COMPELLING FURTHER RESPONSES;

PLAINTIFF'S

MOTION FOR POST-ORDER ISSUE, EVIDENTIARY AND
MONETARY SANCTIONS FOR DEFENDANT'S FAILURE TO COMPLY WITH THE COURT'S APRIL 28, 2026
DISCOVERY ORDER COMPELLING DEPOSITION
OF DEFENDANT'S PERSON(S) MOST KNOWLEDGEABLE

AND RELATED CROSS-ACTION

Background

On July 31, 2024, Plaintiffs Alma Delia Pina Solano, Carlos
Ontiveros Gonzalez, Ricardo Pina Andrade, Morena C. Campos, Ana Laura
Solano Vazquez, Marlene Cabrera, Erit Estrada, Ana Rosa Benitez, Moises Solis,
Rosa Lopez, Jose A. Hernandez, Heidi Lucila Flores Rivera, Juan Manuel Lopez
Perez, Sandra Veronica Lopez, Juan Carlos Lopez, Jessica Martinez, Maria
Guadalupe Avila, Jose Luis Martinez, Brenda Martinez, Jose Martinez, Nubia
Avelino, Jesus Hernandez, Elvis Hernandez, Maria Helena Cabrera, and Miguel Arias
Cordoba (collectively, "Plaintiffs") filed the instant action against Defendant
BLXY, LLC ("BLXY"), alleging seven causes of action for (1) breach of the
implied warranty of habitability; (2) breach of the statutory warranty of
habitability; (3) breach of the covenant of quiet enjoyment; (4) nuisance; (5)
negligence/negligent maintenance of premises; (6) collection of rent for
unhabitable dwelling; and (7) violation of Business and Professional Code § 17200.

On September 3, 2025, BLXY filed a cross-complaint against Plaintiffs
alleging six causes of action for (1) equitable indemnity; (2) breach of
contract; (3) declaratory relief; (4) third party tort, Code
of Civ. Proc. § 1021.6; (5) negligence; and (6) enforcement of contractor's
license bond.

A.

Background on the Failure to Follow Court's

December 5, 2025 Discovery Order Compelling Further Responses

On October 28, 2025, Plaintiffs filed

motions to compel further responses from BLXY to set one of Plaintiffs' form interrogatories, special interrogatories, requests for admission, and requests for production of documents.

On December 5, 2025, the Court held an informal discovery conference

("IDC") with the parties; the parties agreed and the Court ordered that

"[r]egarding the First Set of Form Interrogatories, Special Interrogatories, Requests for Production of Documents, and Requests for Admissions, Defendant will respond separately as to each Plaintiff. The responses will be verified.

To the extent documents produced overlap or responses to the other discovery overlap, Defendant may reference the overlapping documents or responses as applicable to more than one Plaintiff." (Minute Order 12/5/25, ¶ 1.) The Court ordered the responses to be served on or before January 23, 2026. (Minute Order 12/5/25, ¶ 2.)

BLXY "served unverified responses to certain Form Interrogatories and failed to provide any verified individualized responses to Plaintiffs' Special Interrogatories, Requests for Admission, or Requests for Production of Documents. Defendant also failed to produce responsive documents as required by the Court's order." (Iyalomhe Decl., ¶ 16.) "On February 19, 2026, Defendant served non-compliant responses to the Requests for Admission, Set One, interposing same boilerplate objections and without providing mandatory individualized responses to accompanying Number 17.1 of the Form Interrogatories." (Iyalomhe Decl., ¶ 17.)

On February 20, 2026, the parties held another IDC regarding

Plaintiffs' motions to compel further discovery responses. In the Order, the Court stated that "[i]f Defendant failed to comply with the December 5, 2025 order, no motion to compel further on the same issues is needed. Plaintiffs may seek sanctions if Defendant did not comply with the December 5, 2025, order." (Minute Order 2/20/26.)

On March 12, 2026, Plaintiffs filed the instant motion for post-order

enforcement sanctions and monetary sanctions in the amount of \$7,779.57 against BLXY for failure to comply with the Court's December 5, 2025 Discovery Order. Plaintiffs

also request conditional issue sanctions deeming Plaintiffs' requests for admission admitted if BLXY continues to refuse compliance with the Court's Order. The motion was initially noticed for a hearing date of July 30, 2026, but pursuant to Plaintiffs' ex parte application, the Court shortened the time for hearing on the motion to April 16, 2026.

However, on April 15, 2026, BLXY filed an opposition to the motion, and on April 16, 2026, BLXY filed a supplemental opposition to the motion. At the hearing on April 16, 2026, the Court continued the hearing, stating that BLXY "may file and serve a new opposition on or before April 24, 2026 and any reply will be filed and served on or before May 1, 2026." (Minute Order 4/16/26.)

On April 26, 2026, BLXY filed its opposition, to which Plaintiffs replied on May 1, 2026.

B. Background

on the Failure to Follow Court's April 28, 2026 Discovery Order Compelling Deposition of BLXY's Person(s) Most Knowledgeable

On April 28, 2026, the Court held an IDC with the parties; the parties agreed and the Court ordered, "1. On or before May 1, 2026, Defendant's Counsel will provide new dates to Plaintiff's Counsel for the Person Most Knowledgeable deposition which will be set on or before May 15, 2026. 2. Defendant will produce any new documents obtained or located by Defendant (e.g., documents from Google Voice) at least two days before the deposition. 3. Plaintiff will have the right to take a second deposition of the Person Most Knowledgeable if additional documents are produced by Defendant after the initial Person Most Knowledgeable Deposition." (Minute Order 4/28/26, p. 1.)

On May 26, 2026, Plaintiffs filed a motion for monetary sanctions in the amount of \$19,179.57 against BLXY and its counsel for discovery misconduct. Plaintiffs seek an order compelling BLXY to produce one or more properly designated and adequately prepared Persons Most Knowledgeable in full compliance with the April 28, 2026 order. Plaintiffs also seek issue sanctions and evidentiary sanctions. On June 15, 2026, BLXY filed an opposition.

At the June 18, 2026 hearing, the Court continued the matter to July 17, 2026, due to BLXY's late opposition and BLXY's counsel's declaration "indicate[ing] the reason for the late response. The hearing will have to be continued so

moving party can file a reply.” (Minute Order 6/18/26, p. 1.) Thereafter, Plaintiffs filed a reply.

Legal Standard

“The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney’s fees, incurred by anyone as a result of that conduct.” (Code Civ. Proc., § 2023.030, subd. (a).) “Disobeying a court order to provide discovery,” “[f]ailing to respond or to submit to an authorized method of discovery,” “[m]aking, without substantial justification, an unmeritorious objection to discovery,” and “[m]aking an evasive response to discovery” are all misuses of the discovery process. (Code Civ. Proc., § 2023.010, subds. (d)-(g).) There is a broad range of sanctions available against anyone engaging in conduct that is a misuse of the discovery process, including the issuance of monetary, evidentiary, contempt, and terminating sanctions. (Code Civ. Proc., § 2023.030.)

“The court may impose an issue sanction ordering that designated facts shall be taken as established in the action in accordance with the claim of the party adversely affected by the misuse of the discovery process. The court may also impose an issue sanction by an order prohibiting any party engaging in the misuse of the discovery process from supporting or opposing designated claims or defenses.” (Code Civ. Proc., § 2023.030, subd. (b).)

“The discovery statutes evince an incremental approach to discovery sanctions, starting with monetary sanctions and ending with the ultimate sanction of termination.” (Doppes v. Bentley Motors, Inc. (2009) 174 Cal.App.4th 967, 992.) “Discovery sanctions ‘should be appropriate to the dereliction, and should not exceed that which is required to protect the interests of the party entitled to but denied discovery.’” ((Ibid.) Where a party fails to obey an order compelling answers to discovery, the court may impose terminating sanctions, issue sanctions, evidence sanctions, or monetary sanctions. (R.S. Creative, Inc. v. Creative Cotton, Ltd. (1999) 75 Cal.App.4th 486, 495.) Discovery “sanctions may not be imposed solely to punish the offending party.” (Rutledge v. Hewlett-Packard Co. (2015) 238 Cal.App.4th 1164, 1193.) “[T]he sanction chosen should

not provide a windfall to the other party, by putting the prevailing party in a better position than if he or she had obtained the discovery sought and it had been favorable." (Ibid.)

Discussion Regarding Failure to Follow Court's December 5, 2025 Discovery Order

Plaintiffs move for post-order enforcement sanctions, monetary sanctions in the amount of \$7,779.57, and conditional issue sanctions against BLXY for failure to comply with the Court's December 5, 2025 Order. Plaintiffs assert that "[d]espite receiving more than eighty days of extensions and a direct order from this Court, Defendant BLXY, LLC has refused to comply with the Court's December 5, 2025 discovery order requiring verified responses to four categories of written discovery: Form Interrogatories, Special Interrogatories, Requests for Production of Documents, and Requests for Admission." (Mot., 3:13-17.) Pursuant to Code of Civil Procedure section 2030.290, subdivision (c), "[i]f a party then fails to obey an order compelling answers, the court may make those orders that are just, including the imposition of an issue sanction, an evidence sanction, or a terminating sanction under Chapter 7 (commencing with Section 2023.010). In lieu of or in addition to that sanction, the court may impose a monetary sanction under Chapter 7."

The statute governing requests for admission prescribes that "[t]he court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel further response, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust." (Code Civ. Proc., § 2033.290, subd. (d).)

For interrogatories, Code of Civil Procedure section 2030.300, subdivision (d) states that "[t]he court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel a further response to interrogatories, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust."

Requests for production similarly allows for sanctions, as follows:

“the court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel further response to a demand, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.”(Code Civ. Proc., § 2031.310, subd. (h).)

Plaintiffs’ counsel, David O. Iyalomhe, explains that Plaintiffs served BLXY with the discovery requests on June 20, 2025. (Iyalomhe Decl., ¶ 4.) BLXY received multiple extensions, and on September 10, 2025, BLXY served unverified and incomplete responses that were “largely boilerplate.” (Iyalomhe Decl., ¶¶ 5-6.) Plaintiffs’ counsel initiated meet and confer efforts with BLXY’s counsel, but BLXY “did not provide meaningful supplemental responses and did not produce the discovery requested.” (Iyalomhe Decl., ¶¶ 7-8.) Plaintiffs thereafter filed motions to compel further responses, and the Court ordered the parties to engage in an IDC. (Iyalomhe Decl., ¶¶ 9-11.) At the IDC, as noted above, BLXY agreed to “provide individualized discovery responses for each of the 25 Plaintiffs.” (Iyalomhe Decl., ¶ 12.)

BLXY “served unverified responses to certain Form Interrogatories and failed to provide any verified individualized responses to Plaintiffs’ Special Interrogatories, Requests for Admission, or Requests for Production of Documents. Defendant also failed to produce responsive documents as required by the Court’s order.” (Iyalomhe Decl., ¶ 16.) Then, “[o]n February 19, 2026, Defendant served non-compliant responses to the Requests for Admission, Set One, interposing same boilerplate objections and without providing mandatory individualized responses to accompanying Number 17.1 of the Form Interrogatories.” (Iyalomhe Decl., ¶ 17.) BLXY “did not request an extension from the Court and did not seek protective relief regarding that order.” (Iyalomhe Decl., ¶ 14.) At an IDC held on February 20, 2026, the Court stated that “Plaintiffs may seek sanctions if Defendant did not comply with the December 5, 2025, order.” (Minute Order 2/20/26.)

Plaintiffs’ counsel states that “[a]t the time of preparing this motion, Defendant’s counsel has failed to serve any verified individualized responses to the discovery as ordered by the Court on December 5, 2025.” (Iyalomhe Decl., ¶ 20.) Plaintiffs’

counsel asserts that the “continued refusal to comply with the Court’s discovery order has delayed discovery and required Plaintiffs to expend additional time and resources to enforce the Court’s order.” (Iyalomhe Decl., ¶ 21.) Plaintiffs’

counsel attests that “[i]n my professional judgment, Defendant’s conduct reflects a pattern of delay and noncompliance with discovery obligations that has unnecessarily prolonged the discovery process and required Plaintiffs to bring the present motion seeking sanctions.” (Iyalomhe Decl., ¶ 27.)

In support of the opposition, BLXY’s counsel, Suzanne Kurian, provides a declaration. Kurian declares, inter alia, that “Plaintiffs’ motion was filed on March 12, 2026, before Defendant had completed service of all individualized responses. The responses that remained outstanding at the time of filing have since been served. As of the date of this declaration, Defendant has served individualized responses to written discovery for all 25 plaintiffs.” (Kurian Decl., ¶ 7.) According to counsel, “[t]here is no ongoing noncompliance with any discovery order of this Court.” (Id., ¶ 8.)

In the April 24, 2026 supplemental declaration, BLXY’s counsel declares, inter alia, that BLXY “understood the overlap provision in the December 5 order to mean that a single consolidated response was sufficient where the substantive content was identical for all plaintiffs. On January 23, 2026, Defendant served verified responses to the Form Interrogatories in consolidated form.” (Kurian Suppl. Decl., ¶ 7.) “Following the February 20, 2026 hearing, Defendant served verified, 25 sets of responses to Form Interrogatories and 950 Responses to Requests for Admission, along with additional responsive documents, on March 12, 2026.” (Id., ¶ 11; Exs. E-F.) Responding to 108 special interrogatories “individually for each of the 25 plaintiffs (950 in total) was a substantial undertaking ... [and] [d]espite those challenges, Defendant served verified, individualized responses to all 108 Special Interrogatories for all 25 plaintiffs on April 16, 2026.” (Id., ¶ 12; Ex. G.)

Counsel further states that “[a]t the April 16, 2026 hearing, Plaintiffs’ counsel raised two additional issues: (1) that verifications to the Requests for Production responses had not been served, and (2) that Form Interrogatory 17.1 responses had not been updated following service of the RFA responses. Both were oversights. Defendant served the verifications for the Responses to Plaintiffs’ Request [f]or Production of Documents Set One and amended Form Interrogatory 17.1 responses on April 24, 2026.” (Kurian Suppl. Decl., ¶ 13.) Finally, BLXY’s counsel states that

“Defendant has served verified, individualized responses to all four categories of ordered discovery for all 25 plaintiffs. There is no outstanding discovery.” (Id., ¶ 14.)

In response, Plaintiffs’ counsel provides an additional declaration, declaring, inter alia, that BLXY failed to comply with the Court’s December 5, 2025 IDC Order and “[i]nstead, Defendant served consolidated responses on January 23, 2026, which failed to provide individualized responses for each Plaintiff as required. Defendant later acknowledged that it had chosen to interpret the Court’s Order differently, rather than seek clarification or relief from the Court.” (Iyalomhe Reply Decl., ¶ 5.) BLXY failed to promptly cure its deficiencies and “continued to delay and provided piecemeal, incomplete, and deficient responses over the course of several months, extending into late April 2026.” (Id., ¶ 6.) BLXY has never served code-compliant written responses to Plaintiffs’ Request for Production. (Id., ¶ 7; Ex. A.) Plaintiffs’ counsel contends that BLXY’s responses to Form Interrogatories, Special Interrogatories, and Requests for Admission remain non-compliant. (Id., ¶¶ 10-15; Exs. B, C, D.) Plaintiffs’ counsel declares that BLXY “has yet to provide full, verified, and code-compliant responses across all categories of written discovery,” which has prejudiced Plaintiffs. (Id., ¶¶ 18, 21.)

The Court finds that BLXY did not timely comply and has still not fully complied with the Court’s December 5, 2025 Order. The Court ordered BLXY to provide separate responses as to each plaintiff regarding the first set of form interrogatories, special interrogatories, requests for admission, and requests for production of documents. (12/05/25 Minute Order, p. 1.) The Court ordered that such responses be served on or before January 23, 2026. (Id.)

The Court recognizes that defense counsel “understood the overlap provision in the December 5 order to mean that a single consolidated response was sufficient where the substantive content was identical for all plaintiffs.” (Kurian Suppl. Decl., ¶ 7.) Nevertheless, counsel for BLXY concedes that discovery responses concerning the RFAs, Form Interrogatories, and Special Interrogatories, as well as additional responsive documents, were not served by January 23, 2026. (Id., ¶¶ 10-13.) Although this matter involves numerous plaintiffs, the Court’s December 5, 2025 Order imposed a deadline, and BLXY failed to comply.

Additionally, upon review of BLXY’s responses to Plaintiffs’ request for production of documents, the Court finds that such

responses are deficient. (Iyalomhe Reply Decl., ¶ 7; Ex. A.) On March 12, 2026, BLXY served an unverified “Notice of Production,” which directs Plaintiffs to download a link. (Ibid.) Such “Notice of Production” is insufficient as BLXY has not indicated that: (1) it will comply with the demand for inspection, copying, testing, or sampling; (2) it lacks the ability to comply with the demand; or (3) it objects to said demand. (Code Civ. Proc., § 2031.210, subds. (a)(1)-(3).)

The responses to certain form interrogatories are incomplete. For instance, as to Form Interrogatory No. 12.1, BLXY has not fully answered such interrogatory. (Iyalomhe Reply Decl., ¶ 10; Ex. B. at p. 5.) Responses to interrogatories must be “as complete and straightforward as the information reasonably available to the responding party permits.” (Code Civ. Proc., § 2030.220, subd. (a).)

The responses to certain special interrogatories are also insufficient. For instance, in response to Special Interrogatory No. 5, BLXY objected and also exercised an option to produce documents. (Iyalomhe Reply Decl., Ex. C, pp. 4-5.) Such a response is not compliant with Code of Civil Procedure section 2030.220.

As to the requests for admission, the Court finds that the responses of BLXY are insufficient. For instance, as to RFA No. 8, BLXY objects, alludes to not being able to answer such RFA due to the necessity of expert opinion, and sets forth the failure of Plaintiffs to concede any issue. (Iyalomhe Reply Decl., Ex. D at pp. 8-9.) Such a response is not appropriate as “[a] denial of all or any portion of the request must be unequivocal...” ((St. Mary v. Superior Court (2014) 223 Cal.App.4th 762, 780 [citation omitted, internal quotations omitted].)

Nevertheless, BLXY failed to comply with the Court’s December 5, 2025 Order by failing to provide verified and separate responses to the discovery at issue by January 23, 2026. (See 12/05/25 Order, p. 1.) Based upon review of the exhibits attached to the April 24, 2026 declaration of BLXY’s counsel, verifications were not provided as to either the form or special interrogatories. (Kurian Suppl. Decl., Exs. A-G.) In fact, BLXY has yet to provide complete and verified responses. (Iyalomhe Reply Decl., ¶ 18.) BLXY thus has not complied with the Court’s December 5, 2025 Order. Accordingly, the Court finds that monetary sanctions are warranted.

A. Monetary

Sanctions

Plaintiffs'

counsel explains that his usual hourly billing rate is \$700 and he “spent approximately four (4) hours reviewing the discovery record, analyzing Defendant’s noncompliance with the Court’s discovery order, and assisting in the preparation and drafting of the present sanctions motion.” (Iyalomhe Decl., ¶¶ 24-25.) Plaintiffs’ counsel also “performed the work associated with reviewing Defendant’s discovery responses, analyzing Defendant’s failure to comply with the Court’s December 5, 2025 discovery order, and researching, preparing, and drafting Plaintiffs’ Motion for Post-Order Enforcement Sanctions and the supporting papers filed with the Court. [He] spent approximately eleven (11) hours performing this work.” (Iyalomhe Decl., ¶ 26.) “Plaintiffs also incurred the Court’s filing fee of \$79.57.” (Ibid.)

An additional four hours of attorney time, equating to \$2,800.00, was expended preparing the reply. (Iyalomhe Reply Decl., ¶ 23.) Accordingly, “Plaintiffs respectfully request that the Court award these sanctions in full (\$10,579.57), as well as any additional relief the Court deems appropriate to ensure Defendant’s compliance going forward.” (Id., ¶ 24.)

The

Court finds the filing fee and counsel’s requested hourly rate of \$700 reasonable. The Court grants the request in the amount of \$10,579.57.

B. Issue

Sanctions

As to issue sanctions, Plaintiffs

assert that if BLXY “continues to refuse compliance with the Court’s discovery order, issue sanctions will be appropriate.” (Mot., 7:5-6.) Plaintiffs “request that the Court impose issue sanctions deeming Plaintiffs’ Requests for Admission admitted if Defendant fails to comply with the Court’s discovery order within ten days of the Court’s ruling.” (Mot., 7:7-10.) “The court may impose an issue sanction ordering that designated facts shall be taken as established in the action in accordance with the claim of the party adversely affected by the misuse of the discovery process. The court may also impose an issue sanction by an order prohibiting any party engaging in the misuse of the

discovery process from supporting or opposing designated claims or defenses.” (Code Civ. Proc., § 2023.030, subd. (b).) The Court finds that imposing issue sanctions at this juncture is premature. The request for issue sanctions is denied.

Discussion Regarding Failure to Follow Court’s April 28, 2026 Discovery Order

Plaintiffs move for various sanctions, based on BLXY’s misuse of the discovery process and failure to comply with the Court’s April 28, 2026 Order. Plaintiffs assert that they tried to informally resolve the issue of deposing BLXY’s Person Most Knowledgeable (“PMK”), but “[w]hen informal efforts proved futile, Plaintiffs sought Court intervention through an Informal Discovery Conference, resulting in an express Court order requiring Defendant to provide PMK deposition dates and proceed with the deposition on or before May 15, 2026.” (Mot., 4:15-18.) Plaintiffs contend that “[e]ven after receiving the benefit of Court intervention, Defendant still refused to comply. Defendant selected the deposition dates, allowed Plaintiffs to prepare in reliance upon those dates, never objected to the noticed in-person deposition, never sought a protective order, never moved to quash, and then, on the eve of the deposition, attempted to unilaterally alter the format of the proceeding before ultimately producing no PMK witness at all. (Iyalomhe Decl., ¶¶ 21–35, Exhs. J–N.) Defendant’s conduct constitutes misuse of the discovery process under Code of Civil Procedure section 2023.010, failure to appear for properly noticed deposition under Code of Civil Procedure section 2025.450, and direct violation of this Court’s express discovery order. Under these circumstances, monetary sanctions are plainly warranted, and issue and evidentiary sanctions are appropriate unless the Court determines that immediate compelled compliance is the more proportionate remedy.” (Mot., 4:19-28.)

Plaintiffs’ counsel explains that after the IDC hearing on April 28, 2026, “[o]n May 1, 2026, defense counsel advised Plaintiffs that Defendant’s PMK would be available on May 14 or May 15, 2026,” and “[i]n reliance upon Defendant’s representation and the Court’s express order, Plaintiffs served a Second Amended Notice of Deposition scheduling Defendant’s PMK deposition for May 14, 2026, as an in-person deposition at Plaintiffs’ counsel’s office.” (Iyalomhe Decl., ¶¶ 21-22.) Counsel explains that “[a]t no time after service of Plaintiffs’ original Notice of Deposition, amended notice, or Second Amended

Notice of Deposition did Defendant serve any written objection to the deposition, including any objection to the noticed date, time, location, or in-person format," nor "did Defendant seek a protective order, move to quash the deposition notice, or otherwise seek relief from the Court concerning the noticed deposition or the Court's directive that Defendant's PMK deposition proceed on or before May 15, 2026." (Iyalomhe Decl., ¶¶ 23-24.)

Plaintiffs' counsel attests that "[o]n May 12, 2026, Plaintiffs contacted defense counsel to confirm logistics, including whether any PMK witness would require an interpreter. Defense counsel confirmed that no interpreter would be necessary." (Iyalomhe Decl., ¶ 25.) For the first time "on May 13, 2026, at approximately 4:10 p.m.—the afternoon before the deposition—did defense counsel identify two individuals Defendant intended to designate as PMK witnesses," and "Defense counsel represented that both individuals would be available for deposition the following day." (Iyalomhe Decl., ¶¶ 27-28.) However, defense counsel requested a "link" for the deposition, which Plaintiffs' counsel "reminded defense counsel that the deposition had been expressly noticed as an in-person proceeding." (Iyalomhe Decl., ¶¶ 29-30.) Defense counsel attempted to unilaterally alter the deposition format by stating that Defendant's PMKs would appear remotely on May 14 or, alternatively, in person on May 15. (Iyalomhe Decl., ¶ 31; Ex. N.) "Despite never objecting to the deposition notices, never seeking protective relief, and expressly agreeing to the deposition dates, Defendant failed to produce any PMK witness" on May 14 or 15, 2026. (Iyalomhe Decl., ¶¶ 33-35.)

Plaintiffs

assert that BLXY's "conduct falls squarely within the statutory definition of discovery misuse. This was not a single scheduling mishap or isolated failure to appear. Rather, Defendant engaged in a sustained course of obstruction beginning with its failure to identify PMK witnesses, continuing through its failure to appear for the originally noticed March 5 deposition, extending through repeated broken commitments to Plaintiffs and to the Court, and culminating in outright refusal to comply with this Court's express discovery directive." (Mot., 8:4-9.)

Plaintiffs

also contend that "[t]he most serious aspect of Defendant's misconduct is its violation of this Court's April 28, 2026 discovery order," which the Court expressly ordered BLXY to provide deposition dates and to produce documents for the deposition. (Mot., 8:18-19.) Plaintiffs further assert that "[t]here is no

ambiguity in th[e] directive. Defendant selected the deposition dates.

Plaintiffs relied on Defendant's representations and prepared accordingly.

Defendant never objected, never sought relief, and never moved for protective intervention. (Iyalomhe Decl., ¶¶ 21–33.) Defendant nevertheless failed to comply. Discovery orders are mandatory. Once this Court issued its directive, any prior scheduling disputes became irrelevant. Defendant's refusal to comply after direct judicial intervention reflects deliberate noncompliance." (Mot., 8:24-28.)

BLXY's

opposition includes an attorney declaration in support, which also outlines the history of the deposition process. Counsel states that initially, the parties agreed to a "PMK deposition for March 5, 2026," but on March 2, 2026, BLXY's counsel "informed Plaintiffs' counsel by email that Defendant's witness was recovering from a recent illness and asked Plaintiffs' counsel to propose alternate dates for the deposition. Plaintiffs' counsel proposed alternate dates that same day." (Kurian Decl., ¶¶ 3-4.) Thereafter, "[t]he parties met and conferred on April 6, 2026 and agreed to set the PMK deposition for April 24, 2026. On April 14, 2026, Plaintiffs served an amended notice of deposition setting the deposition for that date. The amended notice states on its face that it was served pursuant to the mutual consent of the parties." (Kurian Decl., ¶ 5.) BLXY's counsel explains that BLXY "prepared to proceed with the deposition on April 24, 2026. On April 21, 2026, Plaintiffs' counsel wrote regarding the production of tenant portal records and text and WhatsApp communications. That same morning, I produced Defendant's tenant portal records, Bates-numbered BLXY000673 through BLXY000696, and stated that I would follow up regarding the text messages." (Kurian Decl., ¶ 6, Ex. A.)

BLXY's

counsel then states, "[o]n April 23, 2026, the day before the agreed deposition date, Plaintiffs' counsel advised that Plaintiffs were taking the April 24, 2026 deposition off calendar, citing the outstanding communications." (Kurian Decl., ¶ 7, Ex. A.) Which BLXY's counsel "wrote to Plaintiffs' counsel and explained that the text messages at issue had been sent through a Google Voice number used while Defendant's principals owned and managed the building, that the number was no longer associated with Ms. Castillo after the building was sold, and that Defendant was attempting to retrieve the messages and would produce them if successful. In the same correspondence, I offered to proceed with the PMK deposition and to produce the PMK a second time if the text messages were later retrieved." (Kurian Decl., ¶ 8, Ex. A.)

After

the IDC on April 28, 2026, BLXY's counsel "advised Plaintiffs' counsel that Defendant's PMK could be deposed on May 14 or May 15, 2026. Plaintiffs selected May 14, 2026 and that same day served a Second Amended Notice of Deposition setting an in-person deposition for that date at Plaintiffs' counsel's office."

(Kurian Decl., ¶ 10, Ex. B.) However, BLXY's counsel attests that "[e]very deposition taken in this case before May 14, 2026 had proceeded remotely. I believed the May 14, 2026 deposition would also proceed remotely, and it was calendared in our office as a remote deposition. That was my error. The Second Amended Notice set the deposition as an in-person deposition at Plaintiffs' counsel's office, and I did not catch the discrepancy when the deposition was calendared." (Kurian Decl., ¶ 11.) When BLXY's counsel sought a link from Plaintiffs' counsel, and Plaintiffs' counsel informed her of the in-person deposition, BLXY's counsel "immediately looked into what had happened and identified the calendaring error described above. That same evening, May 13, 2026, I disclosed the error to Plaintiffs' counsel in writing and apologized. In the same exchange, I advised that Defendant's witnesses were available to be deposed remotely the next day, May 14, 2026, as calendared, or in person on Friday, May 15, 2026." (Kurian Decl., ¶ 14, Ex. C.)

BLXY's

counsel explains that "Plaintiffs declined to proceed remotely on May 14, 2026. That evening, Plaintiffs' counsel wrote that Plaintiffs were willing to proceed on May 15, 2026 only," and "[o]n the morning of May 14, 2026, I spoke with Plaintiffs' counsel by telephone. I advised that Ms. Castillo was not available for an in-person deposition on May 15, 2026 because of her caregiving obligations. I did not state that Defendant's other designated witnesses were unavailable on May 15, 2026, and Plaintiffs' counsel did not request to proceed with the deposition of any other witness on that date. No deposition occurred on May 15, 2026." (Kurian Decl., ¶¶ 15-16.)

BLXY's

counsel states that "[o]n the afternoon of May 14, 2026, I wrote to Plaintiffs' counsel allocating the noticed topics among three designated witnesses: Liang Zhang for corporate structure, ownership, and the transfer of the property; Albert Xu for record keeping, lawsuits, and property management matters including relationships with property managers and agents and policies; and Saida Castillo for house rules, representations to tenants, conditions in Plaintiffs' units, repairs and timing, government inspections, and rent

collection. In the same correspondence, I disclosed each witness's scheduling constraints, requested that the depositions proceed remotely, and asked Plaintiffs' counsel to provide available dates." (Kurian Decl., ¶ 17, Ex. C.) Specifically, "Ms. Castillo informed me that she is the primary caregiver for her young children, one of whom has a serious medical condition requiring her ongoing care and monitoring, and that these caregiving obligations make an in-person deposition appearance extremely difficult to arrange, [] Ms. Zhang has informed me that she has a serious medical condition, that she would be traveling from May 22 through May 27, 2026, and that she would be traveling abroad for medical treatment from June 1 through July 12, 2026 and unavailable until after July 12, 2026. Ms. Zhang requires a Mandarin interpreter for her deposition," and "Mr. Xu has informed me that he would be out of state for most of the period between May 22 and June 26, 2026." (Kurian Decl., ¶¶ 18-20.)

BLXY's

counsel explains the communication efforts she engaged in following the deposition issues, and that after "further coordination between counsel, Ms. Castillo appeared for her deposition as Defendant's person most knowledgeable on June 11, 2026. Defendant has also offered July 7, July 8, and July 9, 2026 for the deposition of Mr. Xu, the first available dates following his previously scheduled travel commitments. Defendant remains ready to schedule the deposition of Ms. Zhang promptly upon her return from medical treatment abroad after July 12, 2026." (Kurian Decl., ¶ 27.)

As

for producing documents, the Court ordered BLXY to produce new documents obtained via Google Voice. However, BLXY's counsel explains that it "followed through on its efforts to retrieve the Google Voice messages... Those efforts were unsuccessful, and no Google Voice documents were ever obtained or located. Defendant remains willing to produce its person most knowledgeable for a second deposition if any such documents are recovered in the future, consistent with the third term of that order." (Kurian Decl., ¶ 24.)

Plaintiffs'

motion asserts that BLXY bears the burden of establishing substantial justification, but cannot do so because BLXY "may attempt to justify its noncompliance by pointing to counsel's claimed 'calendaring error,' witness childcare obligations, medical issues, travel conflicts, or generalized assertions that Plaintiffs previously appeared for remote depositions. None of those arguments constitutes substantial justification on this record." (Mot., 9:10-13.)

Plaintiffs contend that BLXY's repeated failures to comply caused them prejudice because "Plaintiffs repeatedly prepared for depositions that did not proceed, expended attorney resources in repeated meet and confer efforts, sought Court intervention, incurred litigation costs, suffered delay in case preparation, and were deprived of testimony uniquely within Defendant's possession and control." (Mot., 9:26-28.)

BLXY

believes that it acted with substantial justification "at every step" because BLXY "sought a continuance of the March 5 date because its witness was recovering from an illness. The April 24 date, set by mutual consent, was vacated by Plaintiffs, not Defendant, after Defendant produced its tenant portal records and while Defendant was attempting to retrieve Google Voice messages it no longer controlled. Defendant offered on April 27 to proceed anyway and to produce its PMK twice. Defendant complied with the order's deadlines. The May 14 failure was an honest calendaring error consistent with the case's uniform remote practice, disclosed before the deposition with immediate offers to cure. The remote format request rests on documented witness medical, caregiving, and travel constraints, and Defendant submitted that question to the Court itself. An honest error, immediately disclosed and immediately addressed, accompanied by continuous efforts to complete the discovery, is the definition of substantially justified conduct." (Opp., 8:9-19.)

In

Plaintiffs' reply regarding the documents, they assert that BLXY "now attempts to excuse its noncompliance by claiming that certain Google Voice communications could not be recovered. However, Defendant offers no competent evidence establishing the scope of its search, the efforts undertaken to recover the communications, when those efforts occurred, or why recovery proved impossible. Nor does Defendant adequately address the other categories of electronic communications identified by Plaintiffs and discussed during the meet and confer process." (Reply, 3:25-4:2.)

The

Court finds that BLXY demonstrates substantial justification. Based on the timelines both parties provide and BLXY's counsel's declaration, it appears that BLXY did not strategically or intentionally disobey Court orders. BLXY's counsel timely provided deposition dates that were set before and by the deadline the Court provided. Although the deposition did not proceed as expected, BLXY's counsel explains that this was due to her inadvertent error and

that the PMK has childcare duties that make it significantly difficult to appear in person. Since Plaintiffs' initial motion, the PMK deposition occurred, and BLXY demonstrates that it provided explicit dates to schedule the additional depositions. Accordingly, the Court finds that BLXY demonstrates substantial justification. As for the documents, BLXY's counsel declared that she worked to produce the documents Plaintiffs sought. However, Plaintiffs raise reasonable contentions in their reply. Accordingly, although the Court finds that BLXY acted with substantial justification, the Court orders BLXY to clearly identify the steps and actions it took when attempting to recover the discovery documents Plaintiffs seek.

Given

that BLXY demonstrates that the failure to comply with the Court's orders was due to inadvertent error and not willful, the Court finds that sanctions are not warranted for the failure to follow the Court's April 28, 2026 Discovery Order.

Conclusion

Based

on the foregoing, the Plaintiffs' first motion for sanctions for failure to follow the Court's December 5, 2025 Order is GRANTED IN PART. Monetary sanctions are GRANTED and conditional issue sanctions are DENIED.

BLXY is ordered to pay monetary sanctions in the amount of \$10,579.57 within thirty days of this Order. BLXY is also ordered to comply with the Court's December 5, 2025 Order to provide full and complete verified discovery responses for each plaintiff, without objections, to Plaintiffs' form interrogatories, special interrogatories, requests for production of documents, and requests for admissions within ten days of this Order.

Plaintiffs' second motion

for sanctions for failure to follow the Court's April 28, 2026 Order is DENIED without prejudice as to the issue pertaining to the discovery documents. The Court orders BLXY to meet and confer with Plaintiffs within the next ten days to provide additional evidence outlining the steps and actions it took to recover the discovery documents the parties spoke about during the April 28, 2026 hearing, and why BLXY is unable to recover these documents despite due diligence. If the

explanation is deficient, Plaintiffs may set an IDC to raise the issue with the Court.

Plaintiffs
are ordered to provide notice of this Order.

DATED: July
17, 2026

Hon. Teresa A.
Beaudet

Judge, Los
Angeles Superior Court